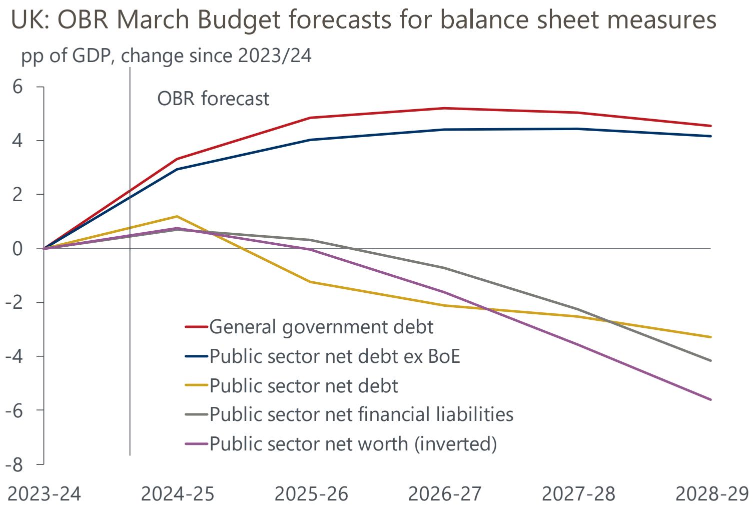
Research briefing | UK

How changing the debt rule could shape the Budget

- **The Chancellor seems ready to change the UK's fiscal debt rule in the upcoming Budget. Our base case is that she will tweak the debt measure to exclude the effects of losses on gilt sales and redemptions by the Bank of England's Asset Purchase Facility (APF).**
- **Such a change would open space for a modest rise in public spending on top of Labour's manifesto plans, so that fiscal policy in coming years would tighten by a bit less than the March Budget.**
- **But there is a range of other balance sheet targets that could be adopted, of which the most likely is to aim to reduce the ratio of public sector net financial liabilities (PSNFL) to GDP over time. If the Chancellor aims for a falling PSNFL/GDP ratio five years ahead, it would open up about £60bn of fiscal headroom in 2028/29.**
- **If the Chancellor does shift to a PSNFL target, we expect she will use this fiscal space relatively cautiously. For example, she could aim to retain much greater fiscal headroom against the fiscal rules than recent Budgets and shorten the timeframe to achieve a falling debt ratio from five years to three years. Assuming any extra current spending after this year is fully offset by tax hikes in the Budget, a PSNFL/GDP target with greater headroom and a 3-year horizon would allow a substantial rise in public investment to 3% of GDP in 2028/29, about £40bn above the March Budget plans.**
- **Such a Budget would provide a path to fiscal sustainability, with the fiscal deficit falling in the next few years and the PSNFL/GDP ratio set to fall after FY2025. At the same time, higher public investment would help improve the economy's potential output. We doubt it would alter market expectations for interest rates much either way.**

Press speculation that the Chancellor Rachel Reeves will change the UK's fiscal debt rules in the forthcoming October 30 Budget is mounting. Although this sounds like an arcane technical issue, it could have major implications for fiscal policy, given the likelihood that different balance sheet measures will show markedly varying paths over the next few years. Here, we discuss the options, and outline the most likely scenarios for fiscal policy, deficits, and public debt.

Chart 1: Public sector balance sheet measures show very different paths in coming years



Sources: Oxford Economics/Haver Analytics

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What's wrong with the existing debt rule?

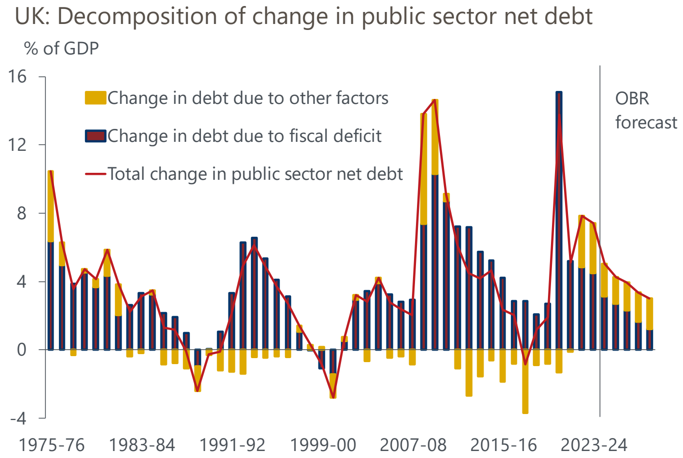
The government currently has two fiscal rules: public sector net borrowing should be below 3% of GDP five years ahead; and the public debt/GDP ratio should fall five years ahead, using public sector net debt excluding the Bank of England (PSNDX).

As we have discussed previously, these rules are inadequate. First, meeting the existing fiscal rules does not ensure fiscal sustainability. They are not tough enough for normal times, allowing four years of rising debt before a marginal drop five years ahead. Moreover, the rolling five-year horizon means they can be gamed, with the Chancellor promising future restraint in year five but never delivering it. In addition, they fail to distinguish between borrowing to finance current spending and borrowing that adds to productive public sector assets (either capital stock or financial assets), despite clear evidence that higher public investment would improve the economy's longterm performance.

The Chancellor has already said she will alter the deficit rule to target a current budget surplus (i.e. tax revenues match day-to-day spending, with investment excluded). Usually, such a rule would allow a substantial rise in public investment within the existing debt rule. For example, if the rise in government debt is solely due to the fiscal deficit (this usually is a reasonable approximation) then – with the debt/GDP ratio around 100% of GDP and 3.5% trend nominal GDP growth, consistent with the 2% inflation target – a fiscal deficit of about 3.5% of GDP would stabilize the debt ratio. So, with a balance on the current budget, public investment could rise to 3% of GDP – compared to an average of 2.1% of GDP over the last 20 years – and still allow a falling debt ratio.

However, at present, the debt rule is far more restrictive than usual, because the rise in public debt on the PSNDX measure is much bigger than the fiscal deficit. In all, the OBR expects that over the five years to 2028/29 PSNDX will rise by an average of £117bn (3.9% of annual GDP) per year, whereas fiscal deficits will average £65bn (2.2% of annual GDP). The extra debt (averaging £52bn per year) largely reflects loans to cover student tuition fees and capital losses on gilt sales and redemptions by the BoE's Asset Purchase Facility (APF). On the OBR forecasts, each of these factors will add an average of about £17bn (0.6% of GDP) to public debt per year between 2024/25 and 2028/29 (Chart 2).

Chart 2: On the PSNDX measure, public debt is rising much faster than implied by the fiscal deficit



Sources: Oxford Economics/Haver Analytics

As a result, the PSNDX-stabilising fiscal deficit over the next few years will be only about 1.5% of GDP. Hence, to meet the existing debt rule, the government would need to run a current budget surplus and also cut public investment from the existing level of 2.5% of GDP in 2023/24. And this was what the March Budget projected, with public investment falling to 1.7% of GDP in 2028/29. So even with a current budget balance rule, the existing debt rule would greatly inhibit productive investment, even if that investment would lift potential growth and pay for itself over time beyond the OBR five-year horizon.

What are the options for changing the debt rule?

In our view, there is a strong case to exclude the effects of APF capital losses from the debt rule. This is partly because the current debt rule gives the BoE's Monetary Policy Committee an undesirably large influence over fiscal policy, given that the pace of APF capital losses is largely determined by the Committee's decisions over the pace of asset sales. In addition, this upward pressure on public debt is temporary. On the current schedule, it will fade early next decade when APF asset sales end. Fiscal policy should be guided by medium-term fiscal sustainability rather than such one-off effects.

The PSNDX measure was adopted for the debt rule in late 2021 to ensure that BoE balance sheet policies do not have a major effect on fiscal policy. It only partly achieves this. Had the scale of APF losses been anticipated in 2021, we suspect they would have been excluded from the debt rule at the outset.

There is also a case to exclude the rise in debt that reflects loans to students, because this is accompanied by a roughly equal asset of student loans that will be repaid over time. The same point applies to other transactions that affect debt and assets equally (e.g. asset sales).

What are the options for changing the debt rule?

There are various other public sector balance sheet measures that could be used for a fiscal rule, including:

- **General government debt (GGD)**. This is the target measure for EU countries. It includes debts of central and local governments but excludes liabilities of public corporations and the BoE. Headroom for 2028/29 in the March Budget was £15bn, versus £9bn for PSNDX.
- **Public sector net debt (PSND)**. This counts all public sector debts (and currency outstanding) net of liquid financial assets. Unlike the existing PSNDX target, it includes significant effects of BoE balance sheet support measures, in particular the Term Funding Scheme for Small and Medium-Sized Enterprises (TFSME) and the rise in debt that results from APF gilt purchases at a price above par. Headroom for 2028/29 in March Budget was £24bn.
- **Public sector net financial liabilities (PSNFL)**. This is PSND plus illiquid financial assets (e.g. student loans to be repaid), plus some other financial liabilities (especially funded public sector pension liabilities). Headroom for 2028/29 in the March Budget was £61bn.
- **Public sector net worth (PSNW)**. This is PSNFL plus non-financial assets. Headroom for 2028/29 in the March Budget was £66bn. Note that the IMF produces a wider PSNW measure, which also includes unfunded public sector pension liabilities, as well as assets and liabilities associated with public-private partnerships.

None of these are perfect measures of fiscal health. Over the last 20 years, they have followed similar trends with rising debts and deteriorating net worth. But over the next few years, they are likely to differ significantly, with varying degrees of headroom (**Chart 1**). In particular, the wider measures of PSNFL and PSNW are less affected by the rise in student debt, because this adds to both assets and liabilities. The PSND/GDP ratio will fall in coming years because of TFSME repayments and a slightly different treatment of APF capital losses.

The Chancellor's choice over a possible change to the debt rule is likely to be guided by which measure best provides a robust anchor for fiscal sustainability, as well as estimates of headroom.

In our view, the Chancellor is unlikely to shift the debt target to GGD, PSND, or PSNW. GGD is a relatively narrow debt measure and could allow sizeable off-budget borrowing by public corporations that eventually undermines fiscal stability. PSND is unsuitable because it is heavily affected by BoE balance sheet policies that are used when needed to support the economy, including the TFSME and Quantitative Easing.

Reverting to a PSND target would create incentives for the Treasury to influence BoE decisions on its balance sheet policies, making it harder for the BoE to fulfil its remit to promote economic financial stability. PSNW is a useful guide to fiscal sustainability, and it would be reasonable for the government to have a general aim of lifting PSNW over 5-10 years. However, its measurement is probably too imprecise to form the basis for a fiscal rule to be met over a specific timeframe.

So the only real alternative, in our view, is PSNFL. Compared to PSNDX, this has the advantage of being largely unaffected if the government borrows to accumulate financial assets (e.g. student loans). Nor would it be affected by privatisations, which reduce both assets and liabilities. It does (like PSND and PSNDX) still include APF capital losses, and hence is affected by MPC decisions over the pace of quantitative tightening. However, it would allow so much more fiscal space than the existing PSNDX target that this may not be immediately relevant.

Some scenarios to show effects of changing the debt rule

To get a sense of this, **Charts 3-7** show three scenarios for the OBR March Budget forecasts. In all three scenarios, we assume this year's fiscal deficit overshoots slightly, consistent with recent data. Moreover, to allow comparison with the March Budget, we have assessed spending options against the aim of fulfilling the debt rule in 2028/29, as in the March Budget. In practice, a rolling five-year horizon would roll forward to 2029/30 in this Budget.

Scenario 1 uses the OE base case for measures in the upcoming Budget. This assumes that the Chancellor will retain PSNDX as the debt target but exclude the effect of APF capital losses. This would imply headroom of £29bn, using the March Budget forecast. It assumes the Chancellor will implement Labour's manifesto tax and spending plans. It also assumes an extra £15bn-£20bn per year rise in future spending – the persistent part of this year's £22bn "black hole" – partly offset by extra tax hikes.

The result, assuming no other changes from the March 2024 Budget, is that the fiscal deficit would fall slightly more slowly than the March Budget plans. Nevertheless, there would still be a slight fall in PSNDX excluding APF losses in 2028/29. Note that the latest OE fiscal forecasts are slightly different to this simulation, because they also assume other changes in the economic outlook, affecting both spending and revenues.

Scenario 2 assumes the Chancellor adopts a target of aiming for a falling PSNFL/GDP ratio five years ahead, and aims for roughly the same headroom (£9bn) as in the March Budget. We assume the government implements the manifesto pledges on tax and spending, and fully offsets any extra current spending beyond this year with extra tax hikes in the upcoming Budget. This would allow annual public net investment to rise by about £64bn in 2028/29 (2% of GDP) versus the March Budget plans, and by about £59bn versus Labour's manifesto. Public net investment in 2028/29 would be roughly double the March Budget plans.

Using the OBR multipliers, this extra investment would lift potential output by about 0.25% in 2028/29, rising to 1.8% ten years ahead. We assume all other factors are as in the March Budget, but allow for extra revenues from higher potential output and extra interest outlays from higher debt. The fiscal deficit over the five years to 2028/29 would average about 3.5% of GDP, and PSNDX would rise by about 10ppts of GDP between 2023/24 and 2028/29. PSNFL would rise initially, but fall slightly in 2028/29 and 2029/30, hence meeting the new target with roughly £9bn headroom. The scope for extra spending would be even higher if the Chancellor also excluded effects of APF capital losses.

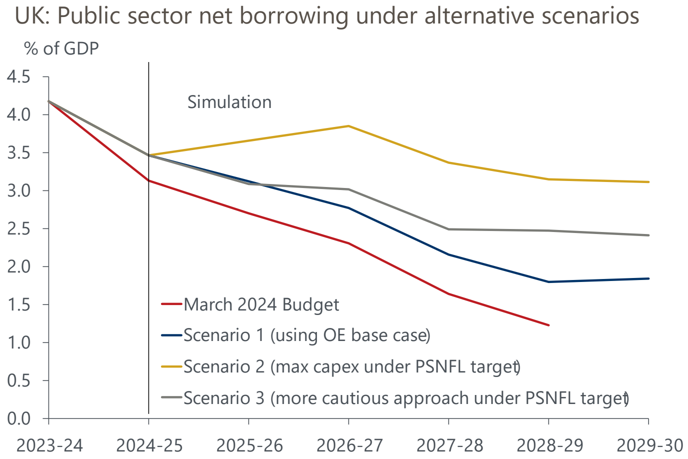
We regard scenario 2 as extremely unlikely. First, it retains the same miniscule headroom as the March Budget, which would leave the fiscal plans vulnerable to subsequent adverse revisions to the OBR economic outlook (e.g. to bond yields). The average headroom of Budgets since 2010 has been worth £26bn in 2028/29 prices, and we assume the new Chancellor will reset headroom to roughly that level. Second, such a large fiscal shift would probably create significant upward pressure on interest rates, adding to deficits and debt. This is partly because of the extra demand that would such a Budget would generate, and partly because in the context of the problems of the five-year rolling horizon, it would create an impression the government is not committed to fiscal sustainability. The fiscal position is very sensitive to changes in short- and long-term interest rates. For these reasons, this Budget would, we suspect, quickly come unstuck.

Scenario 3 also assumes the debt rule is a falling PSNFL/GDP ratio, but additionally assumes the Chancellor aims for greater headroom and shortens the timeframe for the debt ratio to fall from five years to three years – as it was a few years ago. As with scenario 2, we assume the government implements the manifesto pledges on tax and spending, and fully offsets any extra current spending with extra tax hikes in the upcoming Budget. Public investment rises to 2.5% of GDP in 2025/26, 2.75% of GDP in 2026/27 and 2027/28, and 3% of GDP thereafter. Public investment in 2028/29 is £43bn above the March Budget plans –

an extra £38bn above the £5bn increase in Labour's manifesto. Extra public investment would raise potential GDP by 0.2% in 2029/30 and by 1.2% after 10 years.

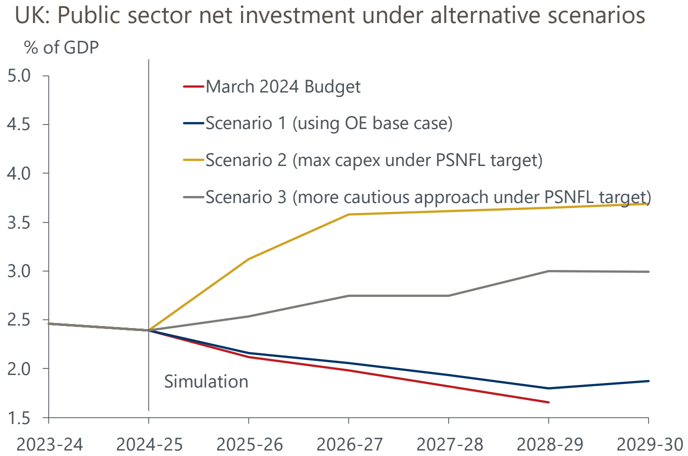
Headroom versus the PSNFL/GDP rule would be £23bn three years ahead and £25bn in 2028/29, close to the long-run average. The fiscal deficit would average about 2.5% of GDP in coming years. The PSNDX/GDP ratio would rise every year because of APF losses and student debt. However, the PSNFL/GDP ratio would fall every year from 2026/27 onwards and in 2028/29 would be below this year's level. Even with higher debt service payments, the current budget would move into surplus.

Chart 3: Alternative debt rules could allow a wide range of deficit paths



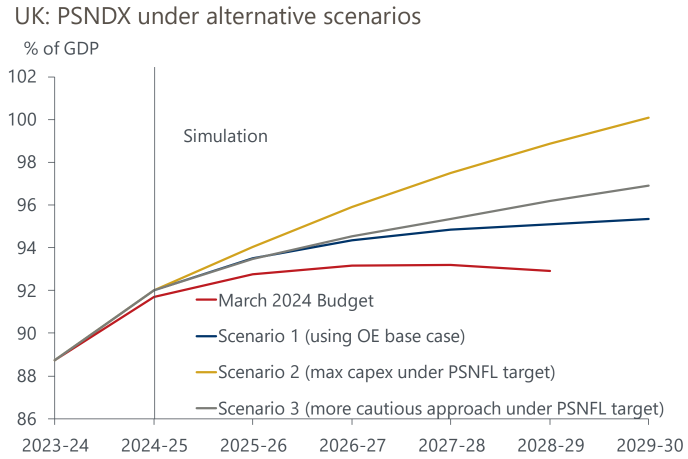
Sources: Oxford Economics/Haver Analytics

Chart 4: Changing to a PSNFL rule could allow much higher public investment



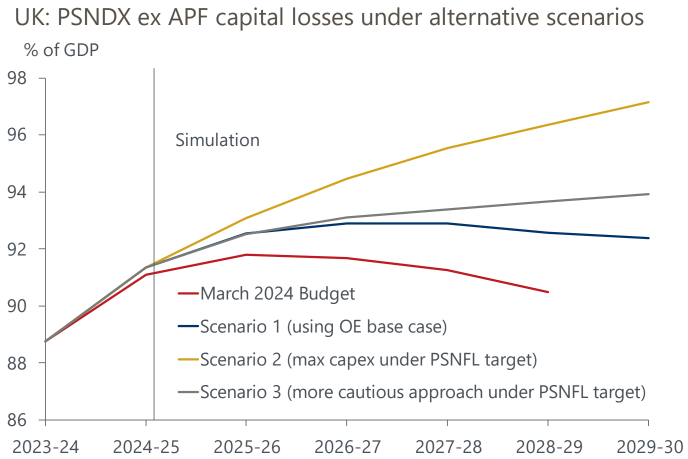
Sources: Oxford Economics/Haver Analytics

Chart 5: Maxing out investment under a PSNFL rule could leave PSNDX rising sharply



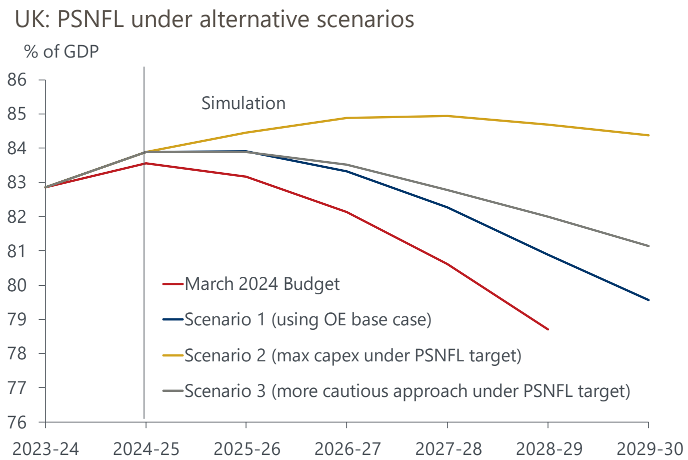
Sources: Oxford Economics/Haver Analytics

Chart 6: Rise in debt is smaller if APF capital losses are excluded



Sources: Oxford Economics/Haver Analytics

Chart 7: A PSNFL rule could be met with higher investment and higher headroom



Sources: Oxford Economics/Haver Analytics

Another way that the Chancellor could seek to reinforce a shift to a longer-term focus is to ask the OBR to extend its forecast horizon from five years to 10, in line with recent IMF advice. This would better reflect the gradual gains for potential output from policy measures (e.g. public investment, measures to lift participation) as well as highlight medium-term fiscal challenges (e.g. effects of demographic change on labour supply and public spending).

The effects of a Budget change to the fiscal rules

The disparity between these simulations shows that a wide variety of fiscal paths would be consistent with different fiscal rules.

Both scenario 1 and 3 would leave fiscal policy on a tightening path, but by less than the March 2024 Budget. For example, between 2023/24 and 2028/29, the primary balance would tighten by 2.1% of GDP in scenario 1 and 1.4% of GDP in scenario 3, compared to 2.8% of GDP in the March Budget. Scenario 3 is less restrictive than scenario 1 but, by fully offsetting any additions to current spending with tax hikes, it tilts borrowing more sharply towards capital spending.

Certainly, reduced fiscal restraint would (all else equal) prompt the MPC to lift its growth forecasts, given that the August monetary policy report assumed the March Budget plans would be implemented. However, we doubt the MPC would react hawkishly. Its policy decisions are not automatically driven by its forecasts. It would not be surprising if the MPC has been as sceptical of the March Budget plans as most external observers. We suspect the Committee would take a Budget along the lines of our base case or scenario 3 to be a more credible commitment to fiscal consolidation than the previous plans.

Similarly, we doubt if either our base case or scenario 3 would add significant upward pressure on market interest rates, given that the consensus already expects the fiscal deficit to average around 3% of GDP in future years, well above the March Budget forecasts. Indeed, we suspect that financial markets might well prefer a smaller commitment to deficit reduction than the March Budget, provided it is set in a more credible framework for achieving fiscal sustainability and an improved medium-term growth outlook.